

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$95.10 ▼ 0.70%	12M Price Target \$115.00	52-Week Range \$63.52 – \$153.86	Market Cap \$85.50B
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HOOD: Crypto Rally + CLARITY Act Push = Real Tailwind

WHAT HAPPENED

- HOOD is slightly red today (-0.70%) but that's misleading — the real story is Bitcoin having its best week since 2024 after Trump met with crypto leaders and personally pushed the CLARITY Act (the big crypto market-structure bill). HOOD is a direct beneficiary because crypto trading is now ~35-40% of their transaction revenue.
- The overnight vibe is bullish for the sector, but options flow is flashing yellow — big traders bought a ton of \$115 and \$120 puts expiring this month. That's someone hedging or betting on a near-term pullback after the run from \$63 to \$95.

WHY IT MATTERS

Here's what to actually think about: HOOD has doubled off its 52-week low and is now sitting at 35% of its yearly range from the bottom — meaning the easy money's been made, but the setup for the NEXT leg depends almost entirely on Washington. If the CLARITY Act passes (which gives crypto exchanges clear rules on what's a security vs. a commodity), Robinhood can legally expand tokenized stocks, stablecoin yield products, and prediction markets — that's a whole new revenue stream. The unusual put buying tells me institutions think the stock is priced for perfection near-term and want protection into month-end, but they're likely still long the underlying. Translation: expect chop, but the trend is your friend if policy cooperates.

POLICY & POLITICAL WATCH

The CLARITY Act (Digital Asset Market Clarity Act) is THE bill to watch — it's stalled in Congress but Trump is now personally lobbying for it, and the administration is moving ahead with rules via executive action anyway. If it passes, HOOD gets a green light to roll out tokenized equities and expanded crypto products to US customers (they've already launched this in Europe). Also watch the SEC under the new leadership — enforcement posture has flipped from adversarial to accommodative, which is a night-and-day change from the 2023-2024 era when HOOD was getting Wells notices (formal warnings of potential SEC charges).

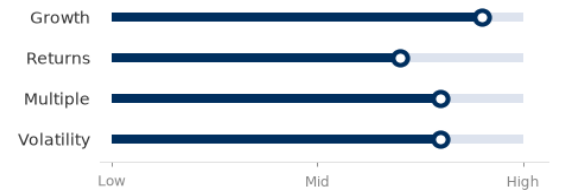
IS IT EXPENSIVE?

At \$85B market cap and ~\$4.2B expected revenue, you're paying about \$20 for every \$1 of revenue — that's rich compared to Schwab or Interactive Brokers (~\$5-8), but HOOD is growing 30%+ vs. their single digits. On earnings, it's ~51x forward P/E (you pay \$51 for every \$1 of profit) which only makes sense if crypto revenue keeps compounding. Fair for a growth story with policy tailwinds, expensive if crypto volumes cool off.

Key Data

Price (USD)	\$95.10
12M Price Target	\$115.00
Upside / (Downside)	+20.9%
Market Cap	\$85.50B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,300M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	51.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$110.00	\$98.00	\$82.00
6 Months	\$130.00	\$108.00	\$75.00
1 Year	\$155.00	\$115.00	\$65.00
2 Years	\$200.00	\$140.00	\$55.00
5 Years	\$300.00	\$180.00	\$40.00
10 Years	\$500.00	\$260.00	\$30.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% this week) is quietly running on the Trump admin's drill-baby-drill posture and grid demand. Crypto-adjacent financials are ripping on the CLARITY Act push even though it's not showing in the sector ETFs yet.

COOLING OFF: Tech (-4% this week) is losing steam — some rotation out of mega-cap AI names as valuations got stretched. Comm Services and Utilities also weak.

ROTATION WATCH: Money is rotating OUT of expensive tech and INTO crypto beneficiaries and energy. HOOD sits in an unusual spot — it's technically financials but trades like crypto/tech, so it can get hit by both flows.

RELATED PLAY: If you like the crypto thesis, look at COIN (Coinbase) as the pure-play, or MSTR (Strategy, formerly MicroStrategy) which popped 10% premarket today as a Bitcoin proxy. CME Group also benefits from regulated crypto derivatives growth.

WHO'S WINNING IN THIS SPACE?

- MSTR (Strategy): +10% premarket — pure Bitcoin proxy, benefits directly from Trump's crypto push and the price surge.
- COIN (Coinbase): Leading the crypto exchange trade — bigger institutional exposure than HOOD, cleaner CLARITY Act beneficiary.

HOOD CONTEXT: HOOD is participating but lagging pure crypto names today because it's a hybrid (equities + crypto + options). That's actually a feature, not a bug — it means less downside when crypto rolls over. But on days like today, expect it to underperform COIN and MSTR on the way up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish. The policy tailwind is real but the stock has already run hard, and the put flow makes me want to wait for a better entry.

POSITION SIZE: 3-5% of portfolio. Enough to matter if the CLARITY Act passes, small enough that a crypto drawdown doesn't ruin your year.

ENTRY POINTS: I'd add on pullbacks to \$88-92, which is where the stock has found support recently. Chasing above \$100 into the current setup feels late.

TIME HORIZON: 12-24 months. The catalyst clock is the CLARITY Act timeline plus Q3/Q4 earnings showing crypto revenue durability.

WHEN TO BAIL: Bitcoin breaks below \$80K, CLARITY Act gets killed in Senate, or HOOD reports a quarter with crypto revenue down >30% QoQ. Any of those and I'm trimming hard.

HEDGING: Simplest hedge — if you're up big, sell a third and let the rest ride. Options-savvy folks can buy \$85 puts 3 months out as cheap insurance against a crypto air pocket.